AD-HOC OPINION · EUROPEAN LUXURY

Hermès after the third quarter: the leather core holds, the cyclical engine slows

26 October 2026 · CIO Office, Equity Team

Important notice. This note gives our opinion on Hermès after the third-quarter sales published on 22 October 2026. It relies on public information, company publications and third-party data. It contains no house price target and is not a personalised recommendation. Prices are as of the close on 22 October 2026; technical levels date from 26 October 2026.

The sector: luxury split in two, even inside Hermès

Luxury is in its third year of slowdown, and the recovery will be slow and uneven. European luxury groups had lost about €330bn of market value since January by mid-October. 2024 and 2025 were meant to be years of transition; 2026 is also turning out to be disappointing.

China no longer drives growth. The Chinese luxury market fell 3 to 5% in 2025, after a fall of 17 to 19% in 2024. Third-quarter sales confirmed it: LVMH again reported weak Chinese demand, and at Hermès, Asia excluding Japan, its largest region, was flat, which implies a slight decline in China.

The American client is still the main engine, but slowing. Hermès grew 9% in the Americas in the third quarter, against 15% in the first half. The risk is a stock market correction that would dent the wealth effect.

Price increases are no longer enough. Less wealthy "aspirational" buyers have dropped out, and Hermès has confirmed that its 2027 price rises will be smaller than the 5 to 6% of 2026.

The line runs between scarcity and volume. The most exclusive products hold up; the categories sold in volume suffer. LVMH's fashion and leather goods division fell 5% in the third quarter. Hermès now shows the same split within one house: leather goods grew 11%, while ready-to-wear fell 2% and watches 6%.

> "It's the volume divisions that are suffering, so fashion accessories, for example, and also watches and shoes."
> Hermès CFO, third-quarter revenue call, 22 October 2026

Two engines, two behaviours. Hermès' leather goods work on a supply-constrained model, with demand still above production, and have proved acyclical again. The rest of the house behaves like the luxury sector and moves with the cycle.

What this means for investors. We still see no clear short-term catalyst for the sector without a recovery in China. For Hermès, the quarter showed that the leather core is intact, while the rest of the house slowed with the sector. The debate has moved to the price the market pays for the cyclical half, and our conclusion on page 3 looks at what this means for a position.

Hermès

RMS FP

The leather core is intact, the cyclical half sets the pace

Share price	Leather goods, Q3	Group growth, Q3	P/E (expected profits)
EUR 1,290	**+11%**	**+4.3%**	**29.3x**
Close on 22 October	+1pt vs. consensus	vs. 5% consensus	Lowest since 2016

Technical trend	Support	Resistance	Trend changes above
Bearish, oversold	**EUR 1,162.0**	**EUR 1,500.0 / 1,668.9**	**EUR 1,668.9**

Technical levels as of 26 October 2026 (last EUR 1,279.5). Growth at constant exchange rates.

1. What the company does

Hermès runs two businesses under one name. **Leather goods and saddlery** (Birkin, Kelly and new models), about 47% of third-quarter sales, are made by hand in the group's own French workshops and sold with waiting lists. **The rest of the house**, from ready-to-wear and accessories (28% of sales) to silk, watches, perfumes and home, sells like other luxury goods.

2. Why it could do well

The scarcity engine is intact. Leather goods grew 11% in the third quarter, one point above consensus, driven by new models and icons. Demand still exceeds production.

Capacity keeps rising. New leather workshops open through 2030, adding about 6% of capacity a year; with price, this supports leather growth near 10%.

Growth outside China holds. The Americas grew 9%, Japan 10% and Europe 7%, and management said US growth recovered towards double digits at the end of September.

3. What sets it apart

Leather goods behave acyclically: they grew 11% while LVMH's fashion and leather goods fell 5%. Hermès grows its core without discounts or volume, with a 41% operating margin in the first half.

4. Is the share cheap?

Over 12 months the share fell 41% while expected earnings rose 3%: a derating, not an earnings problem. At 29.3 times expected profits, the lowest since April 2016, it trades 27% below its 40x average since 2005. How attractive 29x is depends on the cyclical half: valued like the sector, it would make today's multiple a fair blend; a recovery outside leather would make it look low.

5. Main risks

The second engine is suffering. Ready-to-wear and accessories fell 2%, silk rose only 1%, other Hermès sectors fell 1% and watches 6%. These categories move with the luxury cycle and are not recovering yet.

China. Asia excluding Japan, about 40% of sales, was flat after +3% in the second quarter; management linked China to equity markets and tax changes.

A tougher 2027. Price increases below the 5 to 6% of 2026, no major store openings after a 1 to 1.5 point contribution in 2026, and EUR 215m of currency headwind in 2026. Consensus earnings estimates were lowered after the release.

The share price trend remains weak. The share fell 4.9% on the release, then broke its September low of EUR 1,298.5 and touched EUR 1,228.0 on 23 October, its lowest since October 2022. It is at a one-year low relative to the Stoxx 600.

6. What to watch next

Full-year results in February 2027: fourth-quarter growth back above 6% with Asia excluding Japan positive again, and a 2027 operating margin held near 40%. Leather growth below 8% for two quarters would signal that demand no longer exceeds supply. The new Grace Wales Bonner menswear line starts in January 2027. On the charts, momentum is deeply oversold and a rebound towards EUR 1,500.0 could occur; EUR 1,162.0 is the level to watch on the downside, and only a close above the 200-day average (EUR 1,668.9) would end the downtrend.

Hermès: conclusion

RMS FP

The core has passed the test. The third quarter confirmed that Hermès' leather goods, close to half of sales, are a different business from the rest of luxury. They grew 11% at constant currency, above expectations, in a quarter when LVMH's fashion and leather goods fell 5% and Chinese demand weakened again. Demand still exceeds production, capacity keeps rising and the group has not needed discounts or volume to grow. Nothing in the quarter suggests that the scarcity model is weakening.

The second engine has not been spared. Ready-to-wear, silk, watches and the other Hermès sectors were flat to negative; management itself said the "volume divisions" are suffering. These businesses behave like the rest of the sector and are likely to recover only with it, when China, the wealth effect in the US and aspirational buyers improve. They explain why group growth slowed to 4.3%, below expectations and the 7% of the second quarter.

2027 looks like a year of transition. Smaller price increases, no major store openings and a stronger euro will weigh on growth, and earnings estimates have been lowered. The operating margin, at 41% in the first half, will be the measure of how well Hermès absorbs this.

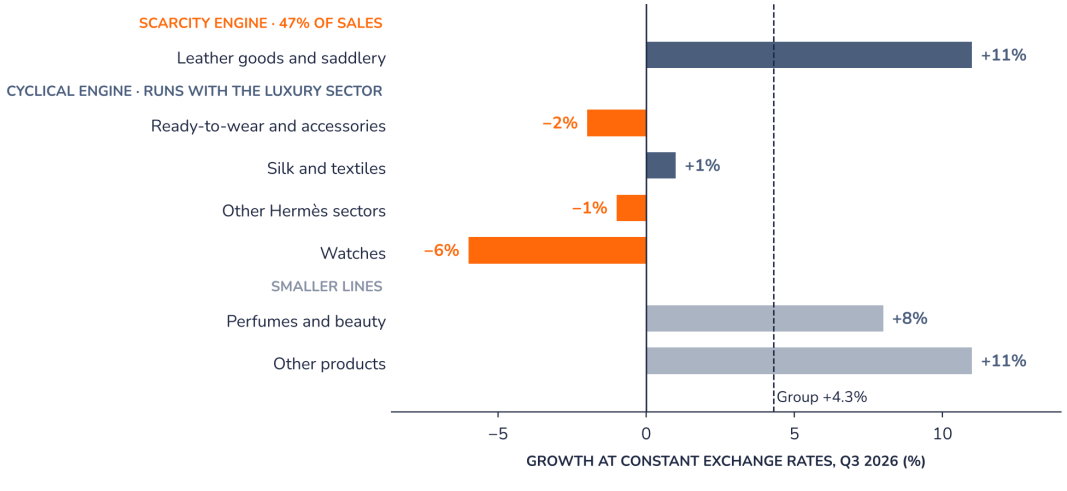
The valuation now reflects the split. At 29.3 times expected profits, the share is at its lowest multiple since 2016, after a 41% fall in a year during which expected earnings rose. The market now values Hermès as half scarcity, half cyclical luxury. A rerating would probably need a recovery in the non-leather divisions or in China; until then, the leather business protects the earnings base, but not necessarily the multiple.

The chart has not turned yet. The share is in a downtrend below a falling 200-day average and made a new low at EUR 1,228.0 on 23 October. Momentum is deeply oversold, so a rebound towards EUR 1,500.0 could occur, but only a close above EUR 1,668.9 would end the downtrend.

What this means for an investor. The quarter answered the question of quality: the company's core is intact. The open question is time. The share may remain weak or range-bound until the luxury cycle turns, even though its most valuable business keeps growing. How to approach a position depends on an investor's time horizon, tolerance for waiting and the weight of Hermès and of luxury in the portfolio, including any holding in LVMH or Christian Dior, which share the same cycle. The relevant question is the potential from today's price. The next checkpoints are the full-year results in February 2027 (fourth-quarter growth, Asia excluding Japan and the 2027 margin) and leather growth holding above 8%.

Chart 1 · RMS: two engines in the third quarter

Revenue growth by division at constant exchange rates, Q3 2026 · Group +4.3% · Negative in orange

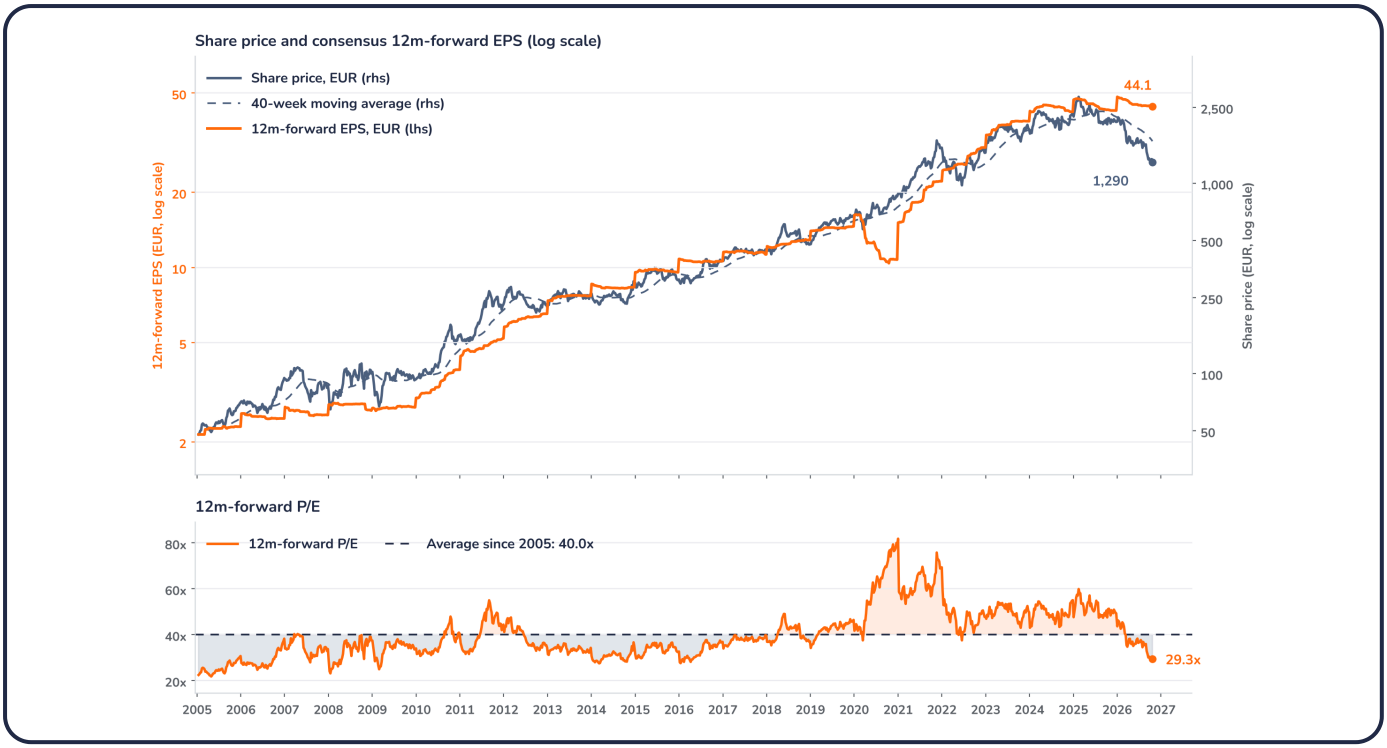


Source: Syz Research, Hermès Q3 2026 revenue release.

Hermès: valuation and technical charts

Chart 2 · RMS: share price vs. consensus earnings and valuation

Weekly, January 2005 to 22 October 2026 · 12-month forward consensus EPS · 40-week moving average · Log scale



Expected earnings kept rising while the share fell: the multiple dropped to 29.3x from 51.1x a year ago. Source: Syz Research, Bloomberg.

Chart 3 · RMS: trend, momentum and relative strength

Daily · 50-day (blue) and 200-day (red) averages with Bollinger bands · Stochastic · Ratio to the Stoxx 600 with its 200-day average



The share trades below a falling 200-day average after breaking its September low; the stochastic is deeply oversold and relative strength is at a one-year low. Charts as of 26 October 2026. Source: Syz Research, Bloomberg.

Sources

Market data, prices and valuation ratios: Bloomberg, as of the close on 22 October 2026.

Company information: Hermès International third-quarter 2026 revenue release and conference call of 22 October 2026; Hermès International first-half 2026 results; LVMH Moët Hennessy Louis Vuitton third-quarter 2026 sales.

Luxury market data: Bain & Company.

Technical analysis and charts: Syz Research, Bloomberg, Technical Takes of 26 October 2026.

Other charts: Syz Research, Bloomberg, Hermès International.

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